

Not surprisingly, the \$500,000 invested in our low-risk alternative has a present value of exactly that—\$500,000. Investing in the gas station is a better deal than putting the cash in a 10 percent yielding bond—assuming that the expected cash flows and sale price are all but assured.

The stock market gives us the price at which thousands of businesses can be purchased. We also have the formula to figure out what these businesses are worth. It is simple.

Table 7.1 Discounted Cash Flow (DCF) Analysis of the Gas Station

Year	Free Cash Flow (\$)	Present Value (\$) of Future Cash Flow (10%)
2007	100,000	90,909
2008	100,000	82,645
2009	100,000	75,131
2010	100,000	68,301
2011	100,000	62,092
2012	100,000	56,447
2013	100,000	51,315
2014	100,000	46,650
2015	100,000	42,410
2016	100,000	38,554
2017	Sale Price 400,000	154,217
Total		768,671